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Economics Honors

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United States Trade Barrier

The news report focuses on the use of tariffs as taxes on foreign goods. Tariffs, in theory, make foreign goods expensive, therefore improving the competitiveness of local products. As a trade barrier tool, tariffs normally have an objective to aid domestic producers and businesses because of this decreased competition from foreign producers. On the other hand, tariffs also make goods imported more expensive due to increased costs that are normally incorporated in the price of goods and consequently paid by buyers.

Wiseman, in the AP News article *Trump pursues new import taxes to replace the tariffs the Supreme Court rejected*, explains that, “Now the administration is scrambling to put more durable tariffs in place to keep revenue flowing into the U.S. Treasury and to shore up the president’s protectionist wall around the American economy” (Wiseman, 2). This is based on the fact that temporary Section 122 tariffs are already implemented following the court ruling and that these tariffs are set to expire in July. As a result, the administration feels compelled to institute more durable tariffs under Section 301 of the 1974 Trade Act. Among other things, the trade problems include forced-labor issues, excess production of products on the global stage, and ensuring continued generation of revenues through tariffs.

There are several different viewpoints presented in the news report. The first is that US Trade Representative Jamieson Greer believes that new tariffs should be imposed in order to address the issue of companies that use forced labor or produce products at lower cost due to

various reasons. On the contrary, other experts who believe that the process of imposing tariffs is too rushed state that the investigation is likely to be carried out in order to reach existing conclusions and therefore impose certain tariffs on import. Moreover, the economists referenced by Wiseman point out that previous tariffs brought in considerable profits but also led to increased prices for consumers.

The ideas discussed in this news report will cause economic stress for many American companies who import products into their companies. Tariffs applied quickly will make it more expensive for importers, less attractive to invest, and make prices higher for customers. These effects will decrease economic efficiency and cause negative consequences for companies dealing with high expenses already. It is unlikely that the overall US economy will be positively affected by tariff expansions as increased prices and disruptions to the supply chain tend to slow down economic development.

Overall, it can be seen that when countries impose large tariffs, the consequences include, but are not limited to, creating legal ambiguity, instilling economic volatility, and increasing consumer costs. These consequences illustrate that trade restrictions not only negatively impact foreign producers but also US companies and even American families. In some cases, consumers in the US will pay more money for products, and companies relying on imports may incur reduced investments and difficulty functioning. As a result of this, it is imperative to study and to truly understand the impacts of tariffs on the economy.

Works Cited

Wiseman, Paul. “*Trump Administration Races to Replace Tariffs Struck Down by Supreme Court.*” AP News, Apr. 2026, <https://apnews.com/article/trump-tariffs-supreme-court-trade-import-taxes-bf712c8ab01f99c3a92e91eb74a9d03f>.